

Management Expenses in Respect of Relevant Schemes

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) the _FSCS_ ;
2. (2) a _firm_ ; and
3. (3) [Deleted]
4. (4) the _Society_.

1.2

In this Part, the following definitions shall apply:

MERS levy

means a levy imposed by the _FSCS_ on a _firm_ or, where applicable, the _Society_ , to meet _relevant expenses_ incurred by the _FSCS_ in connection with acting on behalf of the _manager of the relevant scheme_ in accordance with Part 15A of _FSMA_.

manager of the relevant scheme

has the meaning given in section 224B(3) of _FSMA_.

relevant expenses

means management expenses as defined in section 224F(7) of _FSMA_.

relevant scheme

means a scheme or arrangement (other than the _Financial Services Compensation Scheme_) for the payment of compensation (in certain cases) to customers (including customers outside the _United Kingdom_) in respect of _deposits_ or under contracts of insurance or in respect of similar financial services.

2

Management Expenses in Respect of Relevant Schemes Levy

2.1

This Chapter applies only to the _FSCS_.

2.2

The _FSCS_ may at any time impose a _MERS levy_ on a _firm_ or, where applicable, the _Society_ provided that the _FSCS_ has reasonable grounds for believing that the funds available to it to meet _relevant expenses_ are, or will be insufficient, taking into account _relevant expenses_ already incurred or expected to be incurred in the 12 _months_ immediately following the date of the levy.

2.3

The _FSCS_ can impose a _MERS levy_ only if the _FSCS_ has tried its best and has failed to obtain reimbursement of those expenses from the _manager of the relevant scheme_.

2.4

The _FSCS_ must calculate a share of a _MERS levy_ for a _firm_ or, where applicable, the _Society_ , on a reasonable basis.

3

Obligation to Pay

3.1

A _firm_ (and, where applicable, the _Society_) must pay to the _FSCS_ its share of each _MERS levy_.

4

Payments

4.1

A _firm_ (and, where applicable, the _Society_) must pay its share of a _MERS levy_ in one payment.

4.2

A share of a _MERS levy_ is due on, and payable within, 30 days of the date when the invoice is issued.

4.3

A _firm_ (and, where applicable, the _Society_) must pay its share of a _MERS levy_ by either direct debit, credit transfer (e.g. BACS or CHAPS), cheque, Maestro, Visa Debit or by credit card (Visa/Mastercard/American Express only).

4.4

The _FSCS_ may reduce, remit or refund any overpaid amounts paid in respect of a _MERS levy_ in respect of a particular period, due to a mistake of law or fact by a _firm_ or, where applicable, the _Society_ , provided that the claim is made by the _firm_ or, where applicable, the _Society_ not more than two years after the beginning of the period to which the overpayment relates.

4.5

If a _firm_ (and, where applicable, the _Society_) does not pay the total amount of its share of a _MERS levy_ , before the end of the date on which it is due, it must pay an additional amount as follows:

1. (1) if the _MERS levy_ was not paid in full before the end of the due date, an administrative fee of £250; and

2. (2) interest on any unpaid part of the _MERS levy_ or administrative fee at the rate of 5% per annum above the Official Bank Rate from time to time in force, accruing on a daily basis from the date on which the amount concerned became due.